

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA**

Tentative Ruling

**2025CUBC046693: AMERICAN ELITE, INC., A NEVADA CORPORATION, et al. vs
JASRAJ SINGH**

**08/20/2026 in Department 43
Demurrer to Third Amended Complaint
Motion to Strike Punitive Damages**

The morning calendar in courtroom 43 will normally begin at 8:45. Please arrive for your hearing no later than 8:30 a.m. The door will be opened before the calendar is called.

The Court allows remote appearances by Zoom. Refer to the Courtroom 43 webpage for more information about remote appearances. For Zoom appearances, all counsel appearing by Zoom must register no later than 3:00 p.m. the court day before the hearing. If appearing by Zoom, log into the hearing no later than 8:30 a.m. The Court will transfer you to the meeting room when the calendar begins. Additional instructions can be found on the Court website. When you log in to Zoom, be sure that your name and the case name are used as your Zoom name.

With respect to the tentative ruling below, no notice of intent to appear is required. If you wish to submit on the tentative ruling you can fax notice to Judge Coats's secretary, Ms. Brantner at 805-477-8790, stating that you submit on the tentative. Or you may email Courtroom43@ventura.courts.ca.gov with all counsel copied on the email. Do not call in lieu of sending a fax or email. If you submit on the tentative without appearing and the opposing party appears, the hearing will be conducted in your absence. If you are the moving party and do not advise the Court that you submit on the tentative, or you do not appear at the hearing, the Court may deny your motion irrespective of the tentative.

Unless stated otherwise at the hearing, if a formal order is required but not signed at the hearing, the prevailing party shall prepare a proposed order and comply with CRC 3.1312 subdivisions (a), (b), (d) and (e). The signed order shall be served on all parties and a proof of service filed with the court. A "notice of ruling" in lieu of this procedure is not authorized.

Motions:

1. Defendant Jasraj Singh's Demurrer to Third Amended Complaint
2. Defendant Jasraj Singh's Motion to Strike Punitive Damages

Tentative Rulings:

1. Defendant Jasraj Singh's Demurrer to Third Amended Complaint is ruled on as follows:

A. The Demurrer is **OVERRULED** as to the Second Cause of Action for Intentional Misrepresentation. The allegations concern Defendant's promise before the 2023 agreement to cooperate and provide financial information as part of the effort to remove Defendant's guaranty (TAC at ¶¶68-85.) While Plaintiffs could not recover tort and contract damages for the same conduct, Plaintiffs have now pled a promise that existed prior to the 2023 agreement. *Lazar v.*

Superior Court (1996) 12 Cal.4th 631, 638 (“Recovery, however, may be limited by the rule against double recovery of tort and contract compensatory damages” citing *Tavaglione v. Billings* (1993) 4 Cal.4th 1150, 1159.) The economic loss rule (which was discussed by the court in prior rulings) no longer forecloses this cause of action because Plaintiffs have pled promissory fraud prior to the creation of the contract.

B. The Demurrer is OVERRULED as to the Third Cause of Action for Fraudulent Concealment. The allegation is of concealment of Defendant’s actual intent as opposed to misrepresentation. The difference allows for a second species of fraud. The analysis of why the economic loss rule no longer applies is the same as with the Second Cause of Action, above. Defendant’s argument that the allegations of duty are insufficient overlooks the broad scope of how such duty can arise. (See *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336 identifying four circumstances in which nondisclosure may constitute actionable fraud: “(1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.”) (TAC ¶¶92&93)

C. The Demurrer is SUSTAINED with leave to amend as to the Fourth Cause of Action for Intentional Interference with Contractual Relations which remains insufficiently pled. Defendant’s argument that a contracting party cannot interfere with its own contract overlooks the allegations that Defendant sold all of his interest in the Company prior to entering into the 2023 agreement (1st WHEREAS clause of Ex B to the TAC and also TAC at ¶23 (stating “Plaintiffs relied on Defendant’s December 2022 and January 2023 representations not only in entering into the 2023 Agreement, but also in proceeding with the buyout transaction and paying Defendant \$175,000 for his shares.”)) However, the allegations of intentional interference are the same as the allegations of contractual non-performance and despite multiple opportunities, Plaintiffs have not overcome the economic loss rule problem previously identified.

C. The Demurrer is SUSTAINED with leave to amend as to the Fifth Cause of Action for Negligent Interference with an Economic Relationship which is still insufficiently pled. Plaintiffs have not pled a negligent interference that is separate and apart from the contractual nonperformance. The economic loss rule applies.

2. Defendant Jasraj Singh’s Motion to Strike Punitive Damages is moot, based on the demurrer being sustained to Fourth Cause of Action for Intentional Interference with Contractual Relations. It is therefore denied.

Plaintiff is granted leave to amend on or before September 5, 2026.

Moving party is ordered to serve notice of the Court’s rulings.